

industry towards making compliance a part of the product DNA rather than an afterthought.

For Gnani.ai, which builds large Indian-language AI models, the most immediate compliance requirements include enhancing transparency through regular reporting, establishing a clear grievance redressal mechanism for users and strengthening AI safety frameworks.

“Safety testing, especially for high-risk systems, will require more structured documentation and validation, which we are already integrating into our development cycles,” says Ganesh Gopalan, co-founder and Chief Executive Officer, Gnani.ai.

COST EFFECTS

The guidelines do have cost implications. Although they stop short of imposing EU-style penalties or mandatory audits, implementing responsible AI practices will require companies to invest in new processes, tools and talent.

“There’s no denying costs will go up as safety testing, audits, and compute for evaluations aren’t free,” says Subeer Sehgal, Head of AI and Data Governance at Fractal, a data analytics and AI firm.

For the company, this increase will come from safety testing and audits for bias deflection and fairness evaluations, resources for evaluation and regulatory sandboxes for high-risk use cases.

Sehgal sees these costs as strategic investments and believes the IndiaAI initiatives such as subsidised graphic processing units (GPUs) and shared datasets will offset some of the burden, making this a moderate increase rather than a barrier.



India is charting a different path from the major regulatory blocs. It is positioning itself between these (global) strategies

DEVROOP DHAR

MD and co-founder,
Primus Partners



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SUBEER SEHGAL

Head, AI & Data
Governance, Fractal

To be sure, India’s flexible approach may introduce challenges in their interpretation, particularly for large enterprises adopting AI at scale.

Arjun Nagulapally, Chief Technology Officer at digital transformation company AIO-NOS, says the very flexibility offers an opportunity.

“We plan to position ourselves as governance-ready by embedding adaptable, DPDP-compliant governance features in our platform, making it easier for businesses to navigate evolving regulations,” he says.

ROAD TO AN AI LAW

The guidelines mark only the first step in what will inevitably be a long and evolving regulatory journey. Many of the toughest questions now remain unresolved.

How will India test and benchmark high-risk AI systems? Who bears the liability when automated decisions cause public harm? What shared standards should govern model evaluation? Can regulators build the technical capacity needed to supervise increasingly complex algorithms?

Until such questions are answered, governance will advance only in parts, says Dhar. The guidelines will need to evolve in step with practical constraints.

The government has avoided rushing into a standalone AI law, but it has not ruled out one. As high-risk applications scale and encompasses more key sectors, statutory clarity will become unavoidable.

Ultimately, India’s challenge will not just be to regulate AI but to shape the rules of a technology that will define economic and geopolitical power in the coming decades. **BT**